CASE ANALYSIS REPORT

Entores Ltd v Miles Far East Corp

[1955] 2 QB 327 — Court of Appeal of England and Wales

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TABLE OF CONTENT

01	TOPIC
02	INTRODUCTION
03	FACTS OF THE CASE
04	LEGAL ISSUE
05	JUDGEMENT
06	LEGAL PRINCIPLE: CONTRACT FORMATION ANALYSIS
07	BUSINESS RELEVANCE
08	CONCLUSION

1.INTRODUCTION

1.1 Case Citation & Jurisdiction

Case Name	Entores Ltd v Miles Far East Corporation
Citation	[1955] 2 QB 327; [1955] EWCA Civ 3; [1955] 3 WLR 48; [1955] 2 All ER 493
Court	Court of Appeal of England and Wales
Bench	Denning LJ, Birkett LJ, Parker LJ
Date Decided	17 May 1955
Area of Law	Contract Law — Formation via Offer and Acceptance

1.2 Brief Introduction to the Case

Entores Ltd, an English trading company based in London, sought to purchase copper cathodes from Miles Far East Corporation, an American corporation operating through agents in Amsterdam. The parties negotiated and concluded the transaction using Telex — a teleprinter technology that enabled near-instantaneous written communication between distant offices, functioning much like a precursor to modern email or instant messaging.

When Miles allegedly failed to honour the agreement, Entores sought to sue for breach of contract in the English courts. To do so, Entores needed to establish that the contract had been legally formed within the jurisdiction — that is, in London. This turned the entire dispute on a single, precisely framed legal question: where and when is a contract formed when the parties communicate through instantaneous means?

2.FACTS OF THE CASE

2.1 Chronological Summary of Events

- Entores Ltd, based in London, transmitted a Telex offer to Miles Far East Corporation's agents in Amsterdam, proposing to purchase 100 tons of copper cathodes.
- The Amsterdam agents replied by Telex with modified terms — which, in law, constituted a counter-offer rather than an acceptance of the original offer.

- Entores' counter-offer terms were subsequently accepted by Miles' agents via Telex; this acceptance was transmitted from Amsterdam and received on Entores' Telex machine in London.

- Miles Far East Corporation failed to perform its obligations under the agreement, prompting Entores to bring a claim for damages for breach of contract.

- Because Miles was based outside the jurisdiction, Entores needed permission to serve the writ abroad — permissible only if the contract had been 'made' within England. This required the court to determine precisely where and when acceptance took legal effect.

2.2 Material Commercial Context

The underlying transaction was an international commodities sale — the purchase of copper cathodes — negotiated entirely through Telex correspondence. Telex was, at the time, an emerging instantaneous telecommunications technology linking commercial parties across London, Amsterdam, and New York, making this case an early and influential test of how contract law would treat deals struck over real-time electronic channels.

3.LEGAL ISSUE

3.1 Primary Question of Law

Whether, for a contract concluded by instantaneous communication (Telex), acceptance takes legal effect — and the contract is thereby formed — at the place and moment of dispatch (as under the traditional postal rule), or instead at the place and moment of receipt by the offeror.

3.2 Points of Contention

Plaintiff — Entores Ltd:

- Argued that the postal rule was an exception applicable only to communication by post, and that the general rule — acceptance is effective only upon receipt — should govern instantaneous methods like Telex.

- Contended that since Miles' acceptance was received on Entores' Telex machine in London, the contract was concluded in London.

- Submitted that this grounded English jurisdiction and justified service of the writ on Miles outside the jurisdiction.

Defendant — Miles Far East Corporation:

- Argued that the postal rule should extend by analogy to Telex, such that acceptance was complete the moment it was dispatched from Amsterdam.
- Contended that, on this basis, the contract was formed in Amsterdam, not London.
- Submitted that the English courts therefore lacked jurisdiction to permit service of the writ abroad.

4.JUDGEMENT

4.1 Court's Decision

The Court of Appeal unanimously dismissed the appeal. It held that the contract was made in London, at the moment Miles' acceptance was received on Entores' Telex machine, affirming the earlier decision of Donovan J. and permitting service of the writ out of the jurisdiction.

4.2 Ratio Decidendi (Judicial Reasoning)

- Lord Denning reasoned that the postal rule is a historical exception, justified only because postal delays made the moment of posting the sole reliable fixed point for determining when a contract was formed.
- This exception does not logically extend to instantaneous or near-instantaneous communication, where the offeror can, in principle, know at once whether the acceptance has been received.
- Using the analogy of two people conversing face-to-face or by telephone, Denning LJ reasoned that if a reply is drowned out by noise or otherwise fails to reach the offeror, no contract is concluded until the offeror actually hears or receives the acceptance.
- The same logic was held to apply to Telex and other similar technologies: the offeror must actually receive the acceptance before the contract is complete.
- Since Miles' acceptance was received by Entores in London, the court concluded that the contract was made — both in time and in place — in London.

5.LEGAL PRINCIPLE: CONTRACT FORMATION ANALYSIS

This section applies the specific mechanics of offer and acceptance to identify the key legal principle established by the case.

5.1 Evaluation of a Valid Offer

The communications exchanged over Telex were treated by the court as genuine offers capable of binding acceptance, rather than mere invitations to treat or preliminary negotiation. This is evidenced by the fact that Miles' initial Amsterdam reply — which varied the terms of Entores' original proposal — was itself treated as a counter-offer, demonstrating that both parties understood each Telex communication to carry legal, offer-like force rather than being exploratory or non-binding in nature.

5.2 Mechanics of Acceptance

Under the Mirror Image Rule, Miles' final Telex message had to correspond exactly with the terms of Entores' counter-offer for a valid acceptance to occur — and the court found that it did. The central legal innovation of the case, however, lies in its treatment of when that acceptance took effect. The traditional Postal Rule — under which acceptance is complete the moment a letter is posted, regardless of whether it is ever received — was held inapplicable to instantaneous electronic communication. Instead, the court applied the general common law rule that acceptance must be actually received by the offeror before a contract is formed, meaning the contract came into existence in London, where Entores' Telex machine printed out the message of acceptance.

5.3 Ancillary Pillars of Formation

Consideration was clearly present in the parties' mutual promises — Miles' promise to sell the copper cathodes in exchange for Entores' promise to pay the agreed price constituted a valid commercial bargain. Intention to create legal relations was similarly evident from the arm's-length, commercial character of the negotiation between two trading companies operating in the ordinary course of international business, leaving no room for a presumption against binding legal effect, as might arise in a purely domestic or social context.

6.BUSSINESS REVELANCE

6.1 Application in Modern Business

Entores remains the foundational authority for the 'receipt rule' now applied to contracts formed by email, Electronic Data Interchange (EDI), and instant messaging in commercial and

technology-driven sectors. Courts continue to draw on its reasoning when asked where and when a digital acceptance is legally received — for instance, considering server location, inbox delivery, or the moment a message becomes visible on screen. Financial services firms and SaaS providers, which routinely form contracts through instantaneous electronic channels, rely on this receipt-based logic to determine the applicable governing law and jurisdiction for their agreements.

6.2 Risk Management & Operational Compliance

- Draft contracts to expressly specify the moment and mode by which acceptance becomes effective, rather than relying on default common law rules that may produce unpredictable outcomes.
- Maintain accurate timestamps and delivery or read-receipt confirmations for electronic communications, so that the precise moment of acceptance can be evidenced if disputed.
- Include clear governing law and jurisdiction clauses in commercial agreements to pre-empt disputes of the kind seen in Entores over where and when a contract was legally 'made'.
- Train contracting teams and legal departments to recognise that instantaneous electronic communication is governed by the receipt rule, not the postal rule, when assessing contractual risk.

7.CONCLUSION

7.1 Personal Learning and Observations

Analysing Entores Ltd v Miles Far East Corp offers several critical takeaways. First, the case firmly establishes that instantaneous communication is governed by the receipt rule rather than the postal rule — a contract is only formed once acceptance actually reaches the offeror, not merely when it is transmitted. Second, the judgment illustrates how foundational contract-law doctrine adapts fluidly to new technology: the same receipt-based reasoning that Lord Denning applied to Telex in 1955 continues to shape how courts today treat email, instant messaging, and other digital communication.

Third, from a business perspective, the case underscores that the precise place and moment a contract is legally 'made' can determine which country's courts and laws will govern a dispute — making careful, explicit contract drafting essential rather than optional. Finally, studying this

case highlights the enduring relevance of classical offer-and-acceptance doctrine: even as communication technology continues to evolve, the underlying legal questions it raises remain remarkably consistent, and the principles established in Entores continue to provide a reliable framework for resolving them.